

SBI Home Loan FAQs

Extracted from the official SBI Home Loan FAQ page.

Q1. What is Pre-EMI?

Answer: Under the Pre-EMI option, the borrower is required to pay only the interest on the loan amount that will be disbursed as per the progress on the construction of the project. The actual EMI payment starts after the possession of the house.

Q2. What does a home insurance policy cover?

Answer: Home insurance policies cover the house structure as well as its contents or possessions. Many insurance policies also combine various personal insurance features too.

Q3. What is covered under personal possessions?

Answer: Under personal possessions, home insurance companies generally cover furniture, electronic/electrical gadgets and jewellery under personal possessions. However, the maximum liability of these items depends upon the type of insurance cover sought or valuations done by the bank.

Q4. Can a Home Loan be Pre-approved?

Answer: Yes. One can avail of a pre-approved loan from the bank.

Q5. How do banks value the property for insurance purposes?

Answer: Property valuation is done by multiplying the built up area of the property with the cost of construction per square feet. This is the usual method followed by most banks.

Q6. What should be the language of the registration document?

Answer: The language of the registration document must be the one that is commonly / prominently used in your district. According to Section 19 of the Indian Registration Act, the Registering Officer or the Registrar has the discretionary authority to decline the registration of your document if it is presented in a language which is not commonly used in the district, unless and until it is accompanied with the authentic translation of the language in use.

Q7. What are the types of insurances available with Home Loan?

Answer: Term Insurance product (SBI Suraksha) is offered by SBI Life Insurance Company which offers financial coverage to the insured borrowers for full Home Loan tenor. In case of death of the insured individual during the policy term, the death benefit is paid by the company to the beneficiary Home loan account. This insurance is optional. Mandatory Property insurance that covers private residences and protects them from unpredictable damages and natural disasters.

Q8. Do women get concessional interest rates for SBI Home Loans?

Answer: There is a concessional interest rate of 0.05% p.a. if woman is main applicant/co-applicant.

Q9. What is the tax rebate available on a home loan?

Answer: Interest paid on housing loans is allowed as a deduction to the extent of 2 lakh in respect of self-occupied property. In order to provide a further impetus, an additional deduction of up to 1,50,000/- for interest paid on loans borrowed up to 31st March, 2020 for purchase of an affordable house valued up to 45 lakh. The Principal portion of the EMI paid for the year is allowed as deduction under Section 80C. The maximum amount that can be claimed is up to Rs 1.5 lakh.

Q10. What are the various documents needed to apply for a home loan?

Answer: Tentative List of papers/ documents applicable to all applicants: Loan Application: Completed loan application form duly filled in affixed with passport size photographs. In case of KYC compliant Saving Bank accounts: No fresh KYC document is required. Address proof to be provided in case of change of address. PAN to be provided in case of non-availability of PAN in Bank's record. In case of KYC non-compliant Saving Bank accounts: Proof of Identity (Anyone): PAN/ Passport/ Driver's License/ Voter ID card. Proof of Residence/ Address (Anyone): Recent copy of Telephone Bill/ Electricity Bill/Water Bill/ Piped Gas Bill or copy of Passport/ Driving License/ Aadhar Card. Property Papers: Permission for construction (where applicable) Registered Agreement for Sale (only for Maharashtra)/Allotment Letter/Stamped Agreement for Sale Occupancy Certificate (in case of ready to move property) Share Certificate (only for Maharashtra), Maintenance Bill, Electricity Bill, Property Tax Receipt Approved Plan copy (Xerox Blueprint) & Registered Development Agreement of the builder, Conveyance Deed (For New Property) Payment Receipts or bank A/C statement showing all the payments made to Builder/Seller Account Statement: Last 6 months Bank Account Statements for all Bank Accounts held by the applicant/s If any previous loan from other Banks/Lenders, then Loan A/C statement for last 1 year Income Proof for Salaried Applicant/ Co-applicant/ Guarantor: Salary Slip or Salary Certificate of last 3 months Copy of Form 16 for last 2 years or copy of IT Returns for last 2 financial years, acknowledged by IT Dept. Income Proof for Non-Salaried Applicant/ Co-applicant/ Guarantor: Business address proof IT returns for last 3 years Balance Sheet & Profit & Loss A/c for last 3 years Business License Details(or equivalent) TDS Certificate (Form 16A, if applicable) Certificate of qualification (for C.A./ Doctor and other professionals)

Q11. What are the general eligibility conditions for availing a home loan?

Answer: The general eligibility conditions are as follows: The borrower should be a resident of India or an NRI He / she should be above 18years of age at the beginning of the loan Repayment should be up to the age of 70 years.

Q12. How does my salary influence my home loan amount?

Answer: Apart from other criteria and norms of the lending bank, the home loan amount is generally calculated on the basis of your EMI and NMI ratio, where NMI is the take-home pay after taxes and other payroll deductions. The EMI/NMI ratio varies in the range of 20% to 70% for different Net Annual Income slabs. The loan amount can be increased by including a co-applicant.

Q13. Can I apply jointly with my spouse? Will both our salaries be taken into consideration for calculating the loan amount?

Answer: Yes, your salaries can be clubbed for the purpose of calculation of the loan amount. This can be done either when the property is jointly held with the spouse or the spouse stands as a guarantor. Thus, we ensure a great deal of flexibility in the entire exercise of financing your house.

Q14. What is the normal time required for disbursement of a home loan?

Answer: On an average, loans are disbursed within 3-10 days after satisfactory and complete documentation and completion of all the required procedures.

Q15. Can I sell the property even when the home loan is outstanding?

Answer: Yes, you can sell the property with the prior consent of the financing bank. If the buyer wants to take a loan to buy the property, the process is much easier if he/she approaches the same bank. In these cases, the bank does not need to release the property papers to another bank before getting the payment. If the buyer wants to make a payment outright, he can make it to the bank directly. The property papers will be released only after the bank has recovered the entire loan amount and other dues.

Q16. Can I get an in-principle approval and actually avail of the loan later?

Answer: What we do is, before you choose the house you want to buy, we give you an in-principle approval based on your income and capacity to repay. This makes the entire process of identifying and buying a house easier and more flexible. You won't be under pressure to identify a house as you know how much funds the bank would make available to you.

Q17. If I have money, is it still necessary to avail of a bank loan for buying a home?

Answer: It is generally advantageous to go for a home loan as it helps you in availing tax benefits. However, please consult your CA or tax advisor to discuss the pros and cons.

Q18. What security do I have to furnish?

Answer: SBI requires a mortgage of the property for which the loan is being taken. Where mortgage can't be provided, other tangible security would need to be provided. The title of the property should be clear, for which a certificate would be required from the Bank's approved advocate, safeguarding your interests as well as Bank's interests. Additional

security may be required where the house is under construction. This may be for an interim period, by way of tangible security or guarantees from sound and solvent individuals.

Q19. How does SBI housing loan compare with those offered by other institutions?

Answer: Our rates are most competitive in the Industry. We have more than 21 different home loan schemes customized to suit your requirements. There is total transparency with regard to the rate of interest and the fees charged by us. We offer housing loans with low equated monthly instalments, i.e. you pay substantially less in repayments as compared to others. The loan amount is determined by repaying capacity and the value of property to be financed. We offer loans up to 30 years with the flexibility provided to reduce the tenor by prepaying the loan without any penalty. We provide finance for both new and old houses/flats and for construction of houses. Cost of furnishing the house may also be included in the project cost.

We levy interest based on daily reducing balance, unlike the annual reducing balance method used by several other financiers/banks.

Q20. What is the mode of payment for NRI home loans?

Answer: The housing loan needs to be paid for the entire tenure of the loan by funds received in India through banking channels by way of inward remittance from any place outside India or (ii) funds held in any non-resident account maintained in accordance with the provisions of the Act, rules or regulations framed thereunder.

Q21. Can an NRI/PIO acquire residential/commercial property by way of a gift under the general permission available?

Answer: An NRI/PIO can acquire any immovable property in India other than agricultural land/ farm house/ plantation property by way of gift from a person resident in India or from an NRI or from an OCI, who in any case is a relative as defined in section 2(77) of the Companies Act, 2013.

Q22. What should be the mode of payment for purchase of residential/commercial property in India by an NRI/PIO?

Answer: Funds received in India through banking channels by way of inward remittance from any place outside India or Funds held in any non-resident account maintained in accordance with the provisions of the Act, rules or regulations framed thereunder. Provided further that no payment for any transfer of immovable property shall be made either by traveller's cheque or by foreign currency notes or by any other mode other than those specifically permitted under this clause.

Q23. What is EBLR?

Answer: EBLR stands for External Benchmark Lending Rate. SBI has adopted Repo Rate as the external benchmark to link its floating rate home loans with effect from 01.10.2019.

Q24. Can existing borrowers avail the benefits of the new interest rate?

Answer: Yes, floating rate home loan borrowers with regular account conduct as on the date of switch over, can be migrated to the new interest rate structure.

Q25. What are the charges for migrating to the new structure?

Answer: One time switch over fee of Rs. 1000/-* + taxes is applicable. *Conditions apply.

Q26. When will my interest rate change?

Answer: The Interest Rate reset under EBLR may be done by the Bank from time to time as per Banks extant guidelines in force

Q27. Is EBLR a home loan new product?

Answer: No. It is a new interest rate structure. All floating rate home loans will have interest rates linked to External Benchmark.

Q28. What is the minimum Loan amount & max loan amount available under Insta Top Up Loan?

Answer: Min. Rs. 50,000, Max Rs. 8,00,000

Q29. How can I know my Home Loan Eligibility?

Answer: Your Home Loan Eligibility is communicated in the In-Principle Sanction conveyed during your application on our website or on the YONO App.

Q30. Can I authorize someone else to register my property by granting him a Power of Attorney?

Answer: Yes, you can execute a Special Power Of Attorney to get your property registered by someone else.

Q31. What is a Power Of Attorney?

Answer: A Power of Attorney allows a person to grant another person the right to make decisions regarding the person's assets, finances and real estate properties. There are two types of power of attorney. First, the 'General Power of Attorney' where a property owner confers 'general' rights. The rights include but are not limited to sell, lease, sub-lease etc. The second one is the 'Special Power of Attorney' wherein only a specific right is given by the owner to the chosen person.

Q32. What is the process to register my property?

Answer: Registration of a property includes necessary stamping and paying of registration charges for a sale deed and getting it recorded at the sub-registrar's office of the concerned jurisdictional area. If a property is purchased from a developer directly, getting it registered amounts to an act of legal conveyance. In case the purchased property is a second or third transaction, it involves a duly stamped and registered transfer deed. Nowadays, property registration process has been completely computerized in most states.

Q33. What is the meaning of property registration?

Answer: It refers to the registering of documents relating to transfer, sale, lease or any other form of disposal of an immovable property. Registration is compulsory by law for all properties under Section 17 of the Indian Registrations Act, 1908. Once a property has been registered lawfully, it means that the person in whose favour the property has been registered, is the lawful owner of the premises and is fully responsible for it in all respects.

Q34. What documents would I need at the time of possession?

Answer: Original copies of the chain of title agreements and Building Plan approvals
Original registration and stamp duty receipts
Possession Letter
Original share certificate (In case of societies)
Proof of payment of all dues like maintenance charges, electricity bills, phone, water and property taxes up to the date of handing possession
NOC from the Society or any other concerned body confirming that there is no objection to the transfer

Q35. How can I verify that the documents shown to me by the seller are genuine?

Answer: Project approvals can be verified from the corporation or the sanctioning authority's office
Ownership documents can be confirmed from the Sub Registrar's office wherein they are registered
Share certificates related to societies can be verified from the concerned society itself

Q36. What documents do I need to check if I am buying a resale property?

Answer: Clear and marketable Title, Sale Deed, Encumbrance Certificate, latest tax receipts, Occupancy Certificate, Building Plan Approvals and Possession Certificate.

Q37. What documents are required to get a resale property duly registered?

Answer: New Sale Deed, PAN Card and photographs.

Q38. What documents are required for registration of a new apartment/plot?

Answer: Sale Deed, No Objection Certificate (NOC) from builder, NOC from banks, Building Plan approvals, Completion Certificate, PAN Card and photographs.

Q39. What documents are needed for registration of an independent house?

Answer: Allotment papers of the plot, Building Plan approvals, Transfer Deed (in case of multiple owners), Sale Deed, PAN Card and photographs.

Q40. What is an EMI?

Answer: EMI or Equated Monthly Instalment is a fixed amount paid by you to the bank on a specific date every month. The EMI's are fixed when you borrow money from the bank as a loan. EMI's are used to pay both interest and principal amount of a loan in a way that over a specific number of years, the loan amount is repaid to the bank alongwith interest.

Q41. What documents should I check before buying a new property?

Answer: Sale Deed Title Deed Approved Building plans Completion Certificate (For Newly constructed property) Commencement Certificate (For Under-construction property) Conversion Certificate(If agricultural land is converted to non-agricultural) Khata Certificate (especially in Bengaluru) Encumbrance Certificate Latest Tax Receipts Occupancy Certificate

Q42. Whether balance transfer with sanction of Higher Loan Amount & extended Repayment Period is possible?

Answer: Yes. Based on the merits of the case and requirements/ eligibility of the borrower, the Bank may sanction an amount higher than the amount taken over from other bank/ financial institution for purposes of renovation/ extension/ furnishings. Similarly extended repayment period may be sanctioned provided that at all times the criteria regarding maximum permissible finance and security margin under the Bank's scheme are not diluted.

Q43. Is pre-payment penalty funded in balance transfers?

Answer: Yes. Total loan quantum, will however, continue to be determined by eligibility criteria based on income, EMI/NMI ratio, LTV ratio etc. applicable to Home Loans scheme.

Q44. What are the processing fees charged by the bank?

Answer: Processing Fee applicable is 0.35% of the Loan Amount plus applicable GST - Minimum of Rs. 2000 + GST and Maximum of Rs. 10,000 + GST Out of pocket expenses like CERSAI charges and Professional fee for Legal Opinion and Valuation also will be recovered.

Q45. What is a down payment?

Answer: Generally, banking & finance institutions pay around 75% to 85% of the cost of the property bought. The remaining 25% to 15% of the amount is paid on an up-front basis, which is popularly known as the down payment.

Q46. What is a home loan?

Answer: Home loan is the money borrowed from a bank or a housing finance institution on interest for buying / constructing / upgrading a residential real estate property.

Q47. What is the average tenure of a home loan?

Answer: As home loans involve a large sum of money, the tenure generally varies between 3 to 30 years.

Q48. Does the tenure affect the loan cost?

Answer: Longer the tenure you have, the lesser will be your EMI but higher would be the interest outgo. In shorter tenures, you pay a greater EMI, but the loan gets repaid faster and you pay less by way of interest.

Q49. Is balance transfer of Home Loan with Home Top Up loan permitted?

Answer: Yes. Home Loan with Home Top up loan can be taken over subject to Maximum Loan To Value of 75 % and fulfillment of other terms and conditions of balance transfer.

Q50. What are the types of Home loans available?

Answer: Home Purchase Loan: It is the most common type of loan taken for purchasing a new residential property or an old house from its previous owner. Home Improvement Loan: Home improvement loans are given for executing repair and renovation work at home. Home Construction Loan: These loans are sanctioned to construct a house on a piece of land you have already purchased. The loan approval and application process for these loans is somewhat different from the other commonly available home loans. Home Extension Loan: Home extension loans are offered for expanding or extending an existing house. To cite a few examples, addition of an extra room, a floor etc. Land Purchase Loan: This type of loan is granted for the purchase of a residential plot for construction of a residential unit thereon as per Bank's norms. Home Conversion Loans: These loans are available for people who have already purchased a house by taking a home loan but would now want to buy and move to another house. With these loans, they can fund the purchase of the new house by transferring the current loan to the new house. Balance Transfer Loan: These loans are availed to transfer one's home loan from one bank to another. It is usually done to repay the remaining amount of loan at lower interest rates or when a customer is unhappy with the services provided by his existing home loan provider and wants to switch to a different bank. NRI Home loans: These are specialized loans, structured to suit the requirements of NRI's who wish to build or buy a home in India. Loan against Property (LAP): These loans are given or disbursed against the mortgage of a property.

Q51. What is the difference between fixed rate and floating rate of interest?

Answer: In the fixed interest rate scenario, the interest remains constant throughout the loan period irrespective of the changes in market conditions while in the floating interest rate scenario, the interest can decrease or increase depending on market fluctuations.

Q52. How is the interest rate calculated?

Answer: The interest on home loans is usually calculated either on monthly reducing or yearly reducing or daily reducing balance by Bank. 'SBI charges interest on daily reducing balance'. Specifics are mentioned below: - Annual reducing method: In this system, the principal, for which you pay interest, reduces at the end of the year. Thus, you continue to pay interest on a certain portion of the principal that you have actually paid back to the lender. This means that the EMI for the monthly reducing system is effectively less than the annual reducing system. Monthly reducing method: In this system, the principal, for which you pay interest, reduces every month as you pay your EMI. Daily Reducing method: In this system, the principal, for which you pay interest, reduces from the day you pay your EMI. EMI in the daily reducing system is less than in the monthly reducing system and a year is treated as consisting of 365 days irrespective of leap or non-leap year.

Q53. How do I benefit if the interest is calculated on a daily reducing balance for SBI Home Loans?

Answer: On an annual reducing balance method, you will continue to pay interest on amounts you repay during the coming one year as the interest for the year is determined on the basis of the balance outstanding at the beginning of the year.

In the case of the daily reducing balance, which is the methodology we employ, your interest is calculated only on the outstanding loan amount, which reduces every time you pay off your EMIs or make any prepayments. This in essence lowers your effective rate of interest significantly.

Q54. Interest applied monthly / at the time of closure in my Home Loan account is in decimals or in round figure?

Answer: Charging of interest on advances for all transactions is rounded off to the nearest rupee.

Q55. Where can I avail SBI Housing loans?

Answer: You can apply for a Home Loan through the following online modes: Website at- <https://onlineapply.sbi.bank.in/personal-banking/home-loan> YONO Mobile App Call on 1800112018 <https://homeloans.sbi.bank.in> We have a branch network that is unmatched in terms of reach. We also have specialized SBI Home Loan Centres and Home Loan Sales Teams across the country to cater to the housing loan requirements of individual customers. Contact list is available on homeloans.sbi.bank.in

Q56. What is the procedure for return of Title Deeds to legal heirs in the event of demise of the borrower?

Answer: Please click here to view the procedure ([Download Document](#))

Q57. I am existing Home Loan customer of SBI and need additional funds urgently. How can I get additional loan?

Answer: Eligible existing Home Loan customers are offered Insta Home Top Up Loan through our Mobile App YONO. Apply now and get funds instantly. To download the app, visit play store / App store. Existing Home Loan customers can also visit the branch / Home Loan Centres to get additional top up loan. For more information, visit: <https://homeloans.sbi.bank.in>

Q58. Can I get instant digital approval?

Answer: You can get instant in-principle approval by: Applying through this website. Click here to apply now. Apply through Mobile App YONO.

Q59. What will be my EMI?

Answer: To know your EMI, visit our EMI Calculator at <https://homeloans.sbi.bank.in/calculators>

Q60. How much can I save by transferring my existing loan to SBI?

Answer: Visit the savings calculator here <https://homeloans.sbi.bank.in/calculators> and click on 'Balance Transfer'